

Future market help you leverage , hedge and separate your underlying stock futures gives you right to buy a lot of stock by given only 25% of money of total price of that lot call as margin money. you can

See with an example

let us consider that you have buy a lot of SBI of lot size of 125 at the rate of 2000 on mouth of march as expiry date at 29 th march then the total margin you have to pay 25 % of total value of lot that is total value of lot is $125 \times 2000 = 250000$ rs 25% of it is 62500 rs know if the stock rise from 2000 to 2100 in that month your net profit will be

$2100 - 2000 = 100 \times 125 = 12500$ rs and if you stock fell from 2000 to 1950 the total loss will be

$2000 - 1950 = 50 \times 125 = 6250$ rs

you can do opposite to this you can sell the stock if the stock rise you will lose the money if the stock fall you will gain example

let us consider that you have sell a lot of SBI of lot size of 125 at the rate of 2000 on

mouth of march as expiry date at 29 th march

then the total margin you have to pay 25 % of total value of lot that is total value of lot is $125 \times 2000 = 250000$ rs 25% of it is 62500 rs